

Architecture and Capital in the 21st Century: An Interview with Matthew Soules

[Erick Villagomez](#) August 1, 2022

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Vancouver House, developed by Westbank Living and designed by Bjarke Ingels Group. Image via <https://living.westbankcorp.com/>.

Architecture, cities, and economics have always had an intimate relationship. The last century has seen the largest explosion of buildings and settlements in history, and this will be continuing into the foreseeable future. With the increasing complexity of global systems, understanding the larger context that affects—and is affected by—architecture is critical. Spacing Vancouver Editor-in-Chief Erick Villagomez had the great opportunity to chat with Matthew Soules, author of [*Icebergs, Zombies, and The Ultra Thin: Architecture and Capital in the Twenty-First Century*](#), to talk about his research and the intricate connection between contemporary architecture and the global financial system.

EV – *First things first: congratulations on the one-year anniversary of the publication of [*Icebergs, Zombies, and The Ultra Thin*](#). I know many folks who have touted it as the best architecture book they have read in the recent past. I don't want to jump into things too quickly, though. For those who might not know you, do you mind sharing a little information about yourself and your interests?*

MS – Thank you. It's hard to believe a whole year has passed since it came out! I'm a scholar-practitioner who has a full-time position in the architecture program at UBC's [*School of Architecture and Landscape Architecture*](#) and a small practice called [*Matthew Soules Architecture*](#). I'm interested in how the siting, form, materiality, and use of buildings dialectically materialize human values. In other words, I'm fascinated by how buildings both embody and inform ideology and ways of being. This broad interest led me to become focused on architecture's relationship with capitalism because, as I see it, capitalism is the overarching meta-ideology of contemporary life.

EV – *Between the full-time teaching position and design practice it's*

amazing that you had the time to put together the book! The title of which —[Icebergs, Zombies, and The Ultra Thin](#)—is a great starting point for our chat since it's so unusual, yet lies at the core of the content: particularly around the impacts of capitalism on architecture and the built landscape. So, do you mind explaining what these words mean within the context of the book and your research?

MS – A primary argument of the book is that contemporary buildings are best understood as spatio-financial constructs. A way to understand all buildings from the earliest of times is that they always fulfill three simultaneous elemental roles: providing shelter, manifesting culture, and embodying wealth. But the degree to which any particular building fulfills these three different roles proportionally shifts over time and geography. With the unprecedented rise of finance capitalism since roughly 1980, in a process called financialization, the wealth function of buildings has significantly increased.

This has meant that buildings, and cities along with them, have physically and operationally mutated to better serve the logic of finance. *Iceberg homes* in which large portions of a house extend underground, *zombie urbanism* in which certain neighbourhoods have large numbers of owned but unoccupied units, and *ultra-thin residential towers* are all avatars of the financialization of architecture and urbanism.

EV – *Within this context, you focus on housing, despite the fact that—presumably—finance capital has influenced a wide variety of building types and uses. Can you elaborate on why you made such a decision?*

MS – You are right that finance capitalism plays a role in pretty much all building types and uses. However, architecture's role in financialization is most pronounced in housing because of the scope and scale of the housing market. Housing, as an asset, has an unparalleled reach across vast swaths of the population for the simple reason that everyone needs to be sheltered. Its function as a basic human necessity at the scale of the individual and family, which is different than commercial space, for example, renders housing as a unique and powerful medium of

financialization. For these reasons, the book focuses on housing.

EV – *It also goes without saying that housing is a particularly important topic locally and abroad, as the cost of urban housing in cities seems to be exploding globally. This phenomenon is intimately related to the financialization you describe in your book, making your insights critically important right now and into the foreseeable future, to my mind. Anyhow, I'd like to hear more about this financialization process—the mechanisms by which it is done, how it manifests in the built world, etc. And in the book, you describe 5 key characteristics of finance capitalist architecture and urbanism. These ultimately form the structural backbone of your work, with each chapter exploring them in more detail—and out of which 'Iceberg homes', 'Zombie urbanism' and 'Ultra-thin Towers' arise. Although I appreciate how complex and entangled these issues are, given their importance, do you mind outlining these fundamental characteristics, and perhaps a brief explanation of each? We can then jump into how they relate to key themes and some of your more nuanced insights.*

MS – The first of the 5 broad characteristics is that finance capitalist architecture is inherently unstable and creates spaces of crisis. As architecture and urbanism increasingly absorb surplus capital, they behave more like stocks, complete with their instability. Volatile fluctuations between growth and decay generate an unstable spatial geography marked by the detritus and absurdities of simultaneous expansion and collapse. At the same time, housing costs in many cities are increasingly detached from local economies, prompting crises of affordability.

The second characteristic of finance capitalist architecture is that it increasingly functions as speculative wealth storage. Housing has become more important as a store of value for households during financialization while at the same time functioning as a primary vehicle for speculation. The sheer amount of money entering real estate distorts the form and scale of buildings.

The third broad characteristic is that finance capitalist architecture is the means of uneven development and heightened inequality. Many studies have shown that the post-1980s era of finance capital has coincided with growing inequality in most advanced capitalist economies. The growing number of very wealthy individuals and the amount of money they control has resulted in a proliferation of architecture uniquely tailored to them while at the same time tent cities, for example, have become more common in many places.

The fourth characteristic is that finance capitalist architecture has a simultaneous propensity for highly iconic and extremely standardized spaces. Standardized space heightens its exchangeability and therefore optimizes its performance as a tradable asset. While iconicity often aims at attracting investors. There are many different manifestations of these two logics. Sometimes an iconic structure can seed an adjacent territory of standardized spatial assets with investor desire. In other instances, iconicity and standardization exist within the same building.

The fifth characteristic is in many ways the most important one: Finance capitalist architecture increases the liquidity of buildings and their subdivided increments. Those investment assets that function as the optimal instruments of finance capitalism require a relatively high degree of liquidity to facilitate the requisite scale of buying, selling, and investing. Traditionally, real estate has been understood to be a quintessentially illiquid asset. Financialization works to completely transform this traditional position. It increases the liquidity of buildings and land in a number of ways, including changing the social performance, physical form, and aesthetics of buildings themselves.

EV – *Although these are all entangled and we probably won't have time to unpack them in great detail, I'd love to focus on a few. You mention the fifth one as being the most important so let's start there. For those who aren't too familiar with financial terms—and in the spirit of keeping things relatively simple—'liquidity' refers to the asset's ability to be converted to cash. Naturally, cash is the most 'liquid' asset. So what you are talking*

about in your fifth characteristic is that buildings have been transformed relatively recently into assets that are easily converted to cash: residential buildings and their subdivisions—i.e. apartments—being the most ‘liquid’, as you mentioned earlier. Can you briefly talk about this transformation from an ‘illiquid’ asset to its opposite state, and how the financial mechanisms that we have developed have changed their built forms, social performance, and aesthetics?

MS – I’ll do my best. It is much easier and faster to buy and sell housing than it was fifty years ago. A whole set of interrelated things have occurred to make that remarkable shift towards liquidity. There has been the invention of new financial products such as shares in [real estate investment trusts](#) (REITs) and [mortgage-backed securities](#) that allow investors to trade highly liquid assets that are tethered to the comparatively illiquid housing market. These are new ways to actively participate in the housing market in a relatively liquid form.

At the same time, there has been an important legal invention: condominium. Condominium allows people for the first time to directly own real estate separate from the ground and this has big implications for liquidity. Furthermore, the advent of large real estate brokerages, some of them global, is a simple and often overlooked component of increasing liquidity across different locations.

All of these late 20th Century changes get accelerated with 21st Century digital technology that allows things such as instant access to real estate data and mortgage pre-approval. Now, this legal, financial, and cultural ecosystem is enmeshed with and dependent upon material architectural conditions. And working in concert with legal, financial, and technological changes have been spatial mutations that in themselves increase liquidity.

I argue that a complex, entangled social milieu at the scale of the building, block, and neighbourhood is an important component of illiquidity that financialization seeks to overcome by de-socializing buildings. In the pursuit of heightened liquidity, there has been a preference for building form that encourages flat and disentangled anti-sociality. A zenith of this

is the predilection for condominium units in relatively tall and slender towers that sit atop large podiums, what in other words is a predilection for 'ultra-thinness' and 'super podiums.' In a tall slender building, there is quite literally a diminished opportunity to interact with neighbours and this, in itself, serves to advance liquidity.

EV – *I love your reference to the fact that each building has its own 'ecology' of entangled systems, financial and otherwise. It's a concept dear to my heart. What I find particularly important in your book is the relationship between what you just discussed and heightened inequality, your third characteristic of finance capitalist architecture. Within [Icebergs](#)..., you mention Thomas Piketty's [Capital in the Twenty-First Century](#)—a connection also seemingly referenced in the title of your book. Although I'm going to vastly oversimplify his incredible work, Piketty's book speaks to the fact that—in the absence of mediating mechanisms (progressive tax policies, etc.)—the dynamics of capital accumulation lead to inequality, with fewer people having more wealth.*

Given that it's not a book on architecture, Piketty deals with economic policy. I personally consider your book as its architectural counterpart, explicitly highlighting the impact of finance capitalism on built form across scales and vice versa. How influential was Picketty's work on your research and thinking? And can you describe in more detail how finance capitalist architecture, like the ultra-thin tower and other forms of development, foster inequality?

MS – The research project that ultimately resulted in my book started in 2013 and Piketty's [Capital](#) was translated into English in 2014. All this to say, Piketty's book was like an intellectual tsunami at a moment that was key for my own project. The influences are numerous, from something as simple as my book's title to the more overarching prompt to investigate architecture's role in increasing inequality.

I think finance capitalist architecture increases inequality in two primary ways. Firstly, by enhancing a unit's and/or a building's ability to function as an investment asset, finance capitalist architecture deeply entrenches

these in a market dynamic in which speculation is dominant. As more and more money flows into these speculative wealth storage devices, prices escalate to such a degree that wealthy investors dramatically increase their wealth while everyone else is left behind. The slender 'luxury' condominium towers that are proliferating across North American cities are an example of a physical construct through which this inequality is accelerated.

Secondly, and perhaps more sinisterly, many cities have become addicted to a kind of philanthropic urbanism in which the public funds raised through things like development levies on these same towers are depended upon to produce ostensibly necessary social goods, such as supportive housing. While this might appear great, I argue that as it is currently practiced it actually perpetuates a system in which growing inequality is the norm. I use the word sinister because the way in which philanthropy is connected to these developments offers a form of ethical insulation that allows investors to ultimately conceal a system of massive exploitation with small benevolent acts.

EV – *The alignment between your research and the release of Piketty's book is incredible. What an amazing stroke of luck!*

I love that you use the word 'sinister' to describe the mischievous, somewhat perverse, nature of things. At face value, development charges and levies seem like a great idea—the broad underlying principle being that growth should pay for growth. So, why not extract fees from new developments for things like new infrastructure and such? Seems logical right? And many folks in charge of making important development decisions—municipal councils and so on—fall into that trap. Although there are seemingly good intentions behind their decisions, it's difficult to step back and see that our standard models of development and processes actually perpetuate inequality, not the opposite.

This has become quite twisted, to my mind, within the context of the affordability crisis many cities are experiencing. Too often I hear well-meaning decision-makers push for buildings like residential towers to curb

affordability challenges, when in fact their good, virtuous intentions ultimately make things worse. As you discuss, it's a 'sinister' reinforcing feedback loop—hidden under ethical arguments—with severe consequences, like those seen here in Vancouver where house prices seem to be spiraling out of control.

I'd love to hear you elaborate a bit more on the issues of 'ethical insulation' and philanthropy....perhaps with an example.

MS – I'm interested in how philanthropy, which has long played an integral role in capitalism, is gaining significance in the era of heightened inequality. It's interesting that many of North America's most famous capitalists are also its biggest charitable donors. This runs from Andrew Carnegie right through to Bill Gates.

Some thinkers have made the argument that in the post-1980s era of neoliberalism, globalization, and financialization, that philanthropy comes to play an even more integral role in perpetuating the status quo and all of its shortcomings. For example, the Slovenian philosopher Slavoj Žižek has described how social awareness and activism historically associated with the left have merged with the capitalist interests of the right. Acts of charity now often provide cover and ethical comfort in the context of overwhelming exploitation. It is within this schema, that Žižek says, "nobody needs to be vile."

Vancouver House, designed by Bjarke Ingels Group and developed by Westbank, provides a vivid example of this. I think there is no question that Vancouver House is an example of finance capitalist architecture that serves to exacerbate inequality in Vancouver. Westbank's marketing for Vancouver House was quite illuminating. The marketing campaign featured 20 reasons to own a unit and the first reason was that the property was 'superprime' – which pretty much says it all in regards to it being deliberately constructed as a speculative wealth storage device.

At the same time, number sixteen was that owners would participate in what was claimed to be the world's first "one-for-one real estate gifting"

program. Simply put, for each condo unit sold in the tower, a house was built and donated to an impoverished family in Cambodia. Each of these donated homes cost between \$4,000 and \$6,000 USD to construct and the folks behind the program are proud that it saved Westbank in marketing costs. Some Vancouver House buyers even flew to Cambodia to personally hand the keys over to the Cambodian families. Frankly, this whole scenario is about the rich getting richer and feeling good about themselves along the way. It's mind-boggling.

EV – *Mind-boggling is right! Now, in your book, you also touch upon something that is particularly dear to my heart because it's so rarely discussed: the role of renderings and other forms of architectural representations with respect to architecture and finance capitalism. Personally, I find that many folks—including important decision-makers—see them as harmless and neutral. Particularly with the rise of 'photo-realistic' imagery, it's so easy to be visually seduced and mistake them for 'real' projects. As a fellow designer and teacher, I think we're both particularly sensitive to how 'sinister' they can be and how they can be manipulated towards very biased ends. Do you mind talking a little about how representations fit into the whole financialization equation?*

MS – You raise an important point and it is a nuanced and complex topic. Of course, renderings play an integral role in architectural practice and I use them in my own design work but like all forms of representation, they are anything but neutral. Robin Evans's essay '[Translations from Drawings to Buildings](#)' is classic and timeless in its examination of the ways in which the tools of representation, whether a drafting table or Lumion software, always inform what is built.

I think what is particularly interesting is the way in which the real estate industry has come to rely on photo-realistic digital representations to market future projects. Particularly illustrating is the pre-sales condominium market in which contracts to purchase units before they are built are bought and sold. Renderings are so integral to this market that it is hard to imagine it functioning without them. It is even possible to call

this a market for the exchange of renderings.

As we have spoken about, financialization propagates architectural forms that are socially disentangled in order to achieve heightened liquidity. Now if we think of architectural liquidity on a spectrum, then a form of architectural asset that is entirely immaterial by existing only as a digital model and its associated renderings is something very far along the spectrum towards total liquidity.

In short, I think the prominence of photo-realistic renderings serves the logic of financialization by providing enhancing liquidity. And as such, I think of contemporary rendering software as being just as much finance technology as it is architectural technology.

There are so many dimensions to this. Think of what can and can't be represented in rendered views. It is very hard to show an embodied socio-cultural milieu but it is easy to show a dramatic view. Thus, you have a built-in preference for representing an architectural experience of viewing. To view something remote is one of the least socially entangled forms of inhabitation and this in itself favours the logic of financialization. So you have a feedback loop in which the renderings themselves begin to function as an asset while at the same time representing financialized space that in turn gets constructed.

EV – *Given how intertwined representations and the practice of architecture are, it makes sense that both play important roles in the financialization processes you describe. There are definitely many rich dimensions to this topic. Worthy of future interview perhaps...wink, wink, nudge, nudge? [smile]*

We've covered a lot of ground here and I'd love to end this great chat by talking about the future. Based on my personal read of the tone of your book, it seems to me that you are, at best, hesitant in supporting the roles architecture and planning have played within the financialization process and our plunge into inequality. Although your book is more descriptive than prescriptive, given the depth of your research—and as someone who

I know cares about both architecture and creating more equitable cities—I'd be foolish not to ask whether you see any way of changing the direction things have taken over the past few decades, if even just a little.

MS – Yes, we could keep this conversation going in perpetuity! [Laugh]

As to the future, I think there are many things that can be done. Architects are great at engaging a whole range of specialized experts in the design process, from structural engineers to ecologists. At the same time, there is a broad disciplinary attempt to respond to climate change, while recognizing that architects have limited agency in relation to that complex challenge.

I think it would be super helpful for architects to start engaging more with real estate finance experts in a similar fashion to their engagement with, for example, environmental performance consultants. In other words, to approach the economic and financial aspects of a project as a meaningful opportunity for creative and critical practice. And just like architects know they can't single-handedly solve climate change and that doesn't stop them from trying to make positive contributions, I think a similar mindset and engagement is necessary for financialization. An important early step towards an architecture that challenges financialization is overcoming the current estrangement between the ostensible 'money' and 'creative' sides of building development.

On a parallel front, I think anything architects can do to create housing that enables deep and variegated social relations between inhabitants is an inherent and important challenge to the logic of financialization. And this is very much about the formal and organizational characteristics of housing, something squarely within the disciplinary purview of architecture.

I've really enjoyed this chat, Erick. Thanks so much!

EV – *Lovely...great thoughts to end on. The pleasure was all mine, Matthew, and I look forward to seeing more of your great research!*

Other related articles:

- [The Tower Default](#)
- [The Tower Default, Pt 2](#)

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Matthew Soules is an associate professor of architecture at the University of British Columbia. He is the founder and director of [Matthew Soules Architecture](#) and the author of [Icebergs, Zombies, and The Ultra Thin: Architecture and Capital in the Twenty-First Century](#) (Princeton Architectural Press, 2021).

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